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Formula4You — Go-to-Market Strategy & Two-Sided Marketplace Growth

Founder-led case study · Egypt's fragrance market (~\$870M, 2025)

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THE OPPORTUNITY

Egypt's fragrance market is large and active — oil suppliers, manufacturers, independent brands and retail sellers all trading — but it runs on WhatsApp threads and social pages, not infrastructure. Through **direct market mapping, competitor analysis and conversations with merchants and suppliers**, I found that roughly **80–90% of the businesses I reviewed had no dedicated online store**. The barrier was not demand or product. It was the perceived cost and complexity of going online, thin technical knowledge, fragmented supplier relationships, fulfilment friction, and no practical content showing these businesses how digital commerce would actually help them grow.

THE STRATEGIC BET

I defined two interconnected ideal customer profiles: **independent merchants** who want an affordable way to sell online, and **fragrance suppliers** who want visibility and recurring B2B demand. Rather than position Formula4You as another website builder or supplier directory, I built it around one promise — **launch, source, operate and grow from one connected platform**. Merchants get a low-friction storefront plus a built-in supplier network they can source from in the same dashboard; suppliers get a professional storefront, aggregated demand and industry visibility.

The decision: a specialist category platform, not a generic store builder. A store builder competes on price and features against companies a thousand times its size. A category platform competes on relevance — and, over time, on data nobody else holds.

GO-TO-MARKET EXECUTION

- **Supply-first sequencing.** I onboarded and organised suppliers before courting merchants, so a merchant arriving on day one found a stocked, useful platform rather than an empty one — an empty marketplace teaches its first users there is nothing there, and they do not come back.
- **Segmented merchant acquisition.** Direct outreach to defined segments, industry-specific landing pages, educational content, referrals, and an onboarding journey engineered to move a user from registration to an active storefront with minimal friction.
- **Pricing as a market-entry lever.** An affordable subscription to lower the adoption barrier for small businesses, rather than maximising revenue per customer up front. The long-term model compounds: recurring revenue from retained merchants and suppliers as network and transaction volume grow.
- **A fulfilment model built for small merchants.** With supplier support, a merchant can order using the end customer's delivery details and have the supplier ship direct — so a small merchant operates with low upfront inventory and less fulfilment risk.
- **A designed two-sided growth loop.** More suppliers raise sourcing value for merchants; more merchants raise order volume and exposure for suppliers. Each side pulls the other.

RESULTS — FIRST MONTH OF EXECUTION

42

suppliers onboarded

55

merchant stores activated

97

industry businesses networked

~400

orders processed in one month

7.3

avg. orders per onboarded merchant

1 : 1.3

supplier-to-merchant ratio

Tracked throughout: supplier and merchant activation · onboarding completion · active storefronts · first-order conversion · monthly order volume · repeat ordering · registration-to-active-usage conversion. These validated both the market need and the two-sided model, and established a repeatable acquisition and liquidity foundation.

WHERE IT IS GOING

The orders prove the model works; the **data** is the real asset. Every listing, supplier and transaction builds a structured index of Egypt's fragrance industry — brands, materials, prices, availability — that no chat thread or social page can match. The direction is to become **the reference marketplace for Egyptian perfume**: a place where a buyer anywhere in the world can browse every Egyptian brand and fragrance in one catalogue, and where the accumulated data becomes the moat no new entrant can copy. Supply-first was never only a launch tactic — it was the first step in building that index.

I don't build features. I build the smallest system that makes a market legible — then let the network compound.